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Banking Reforms

INDIAN BANKING WAS CHARACTERIZED BY a dichotomy between the organized and the unorganized sectors. The organized sector consisted of the Imperial Bank of India, the exchange banks, and the Indian joint-stock banks. The unorganized sector comprised the indigenous bankers, moneylenders, chit funds, and *nidhis.*[1] The co-operative credit institutions occupied an intermediate position. Loose linkages between the parts of the money market and inelasticity in note issue resulted in sharp imbalances between the supply and demand for money and credit, both regionally and seasonally. The interest spread between the busy and slack seasons was as much as 5–6 percent. Similarly, there were also marked variations in the interest rates between regions. This was also reflected in the wide seasonal fluctuations in the bank rate and the *hundi* rate.[2]

The unorganized banking system was divided into two categories: the indigenous bankers and the moneylenders. The Multani Shroffs, Marwari Shroffs, Gujarati Shroffs, and the Chettiars were included in the first category. What distinguished the indigenous bankers from the moneylenders was that they received deposits and had credit arrangements with the joint-stock banks in the form of discounting of *hundis* or bills of exchange. They financed mainly trade and small industry and though their lending rates were higher than those of commercial banks, they were not extortionate.

The moneylenders did not generally receive deposits and primarily financed unproductive expenditure by charging exorbitant rates of interest.